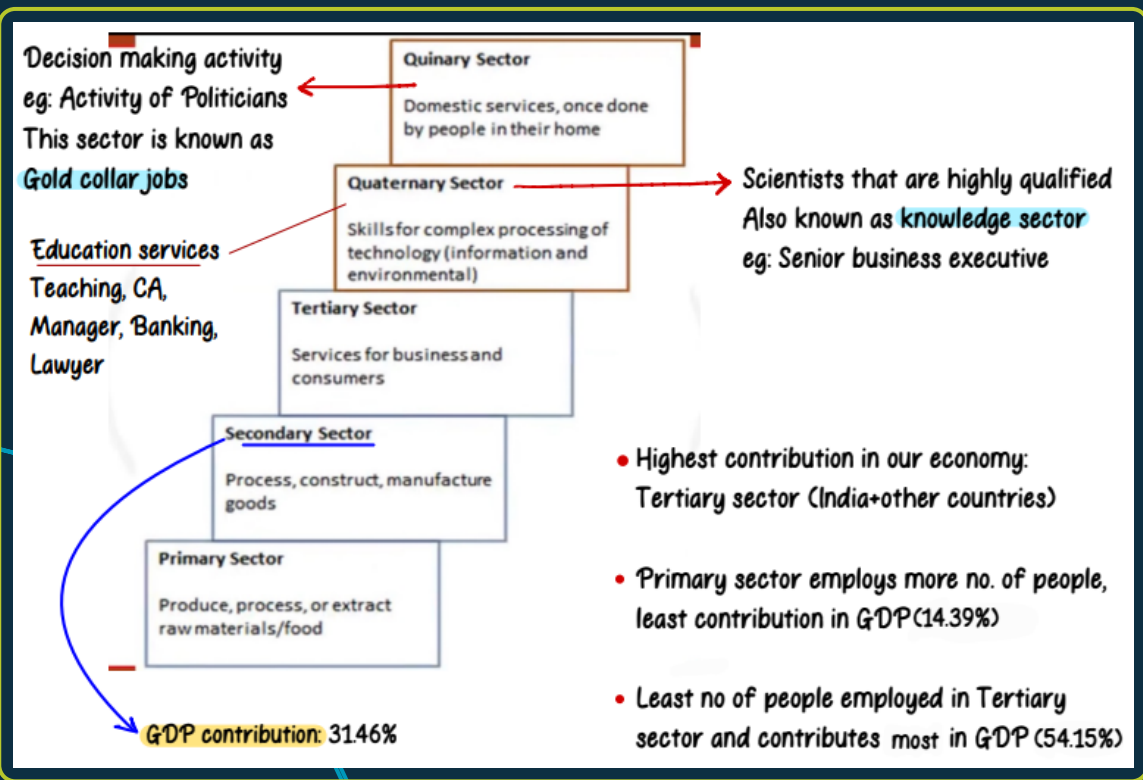


According to 2011 Census

	Primary Sector	Secondary Sector	Tertiary Sector
LFP*	54.6%	24.3%	21.1%
% in GDP	14.39%	31.46%	54.15%

*LFP: Labour Force Participation



Tertiary Sector

- Also known as service sector
- It is that part of economy where business produce services
- Activities - teaching, transport, advertising, retail
- It is always intangible in nature
- White collar jobs

Secondary Sector

- Also called manufacturing sector
- These add value to natural resources by transforming raw materials into valuable products
- Blue collar jobs
- Activities - Manufacturing, Processing, Building/Construction work
- Secondary sector is called backbone of a country, helps in industrialisation of a country eg: China

Primary Sector

- Directly dependent on environment
- also called agriculture sector
- In India primary sector seen mostly in agriculture
- red collar jobs
- Activities - Agriculture, Fishing, Hunting & gathering, Forestry & Mining

Private Goods	Public Goods
Rivalrous (provide satisfaction to only one person)	Non-Rivalrous (provide satisfaction to all)
Excludable (a person can exclude someone from sitting in the car)	Non-excludable (any person can use the public bridge)
Generally provided by Private Sector (made by a private car company)	Generally provided by government (public provisions made by government)
It has positive marginal costs.	It has zero marginal costs.

Macroeconomics

- Focused on the action of govt./countries take to influence broader economies
- GDP, NI, Inflation
- Father - J. M. Keynes (England)

Microeconomics

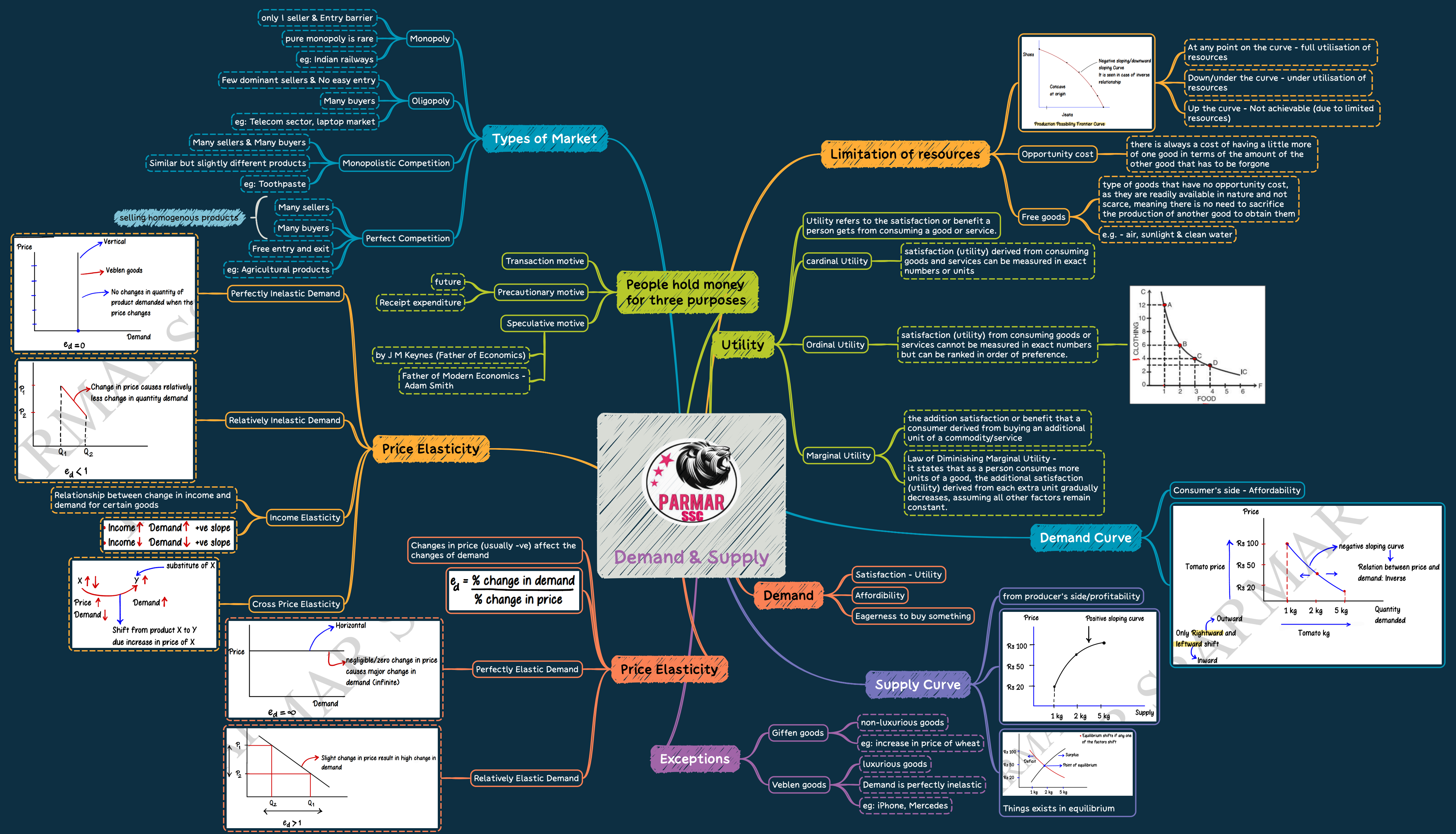
- Focused with the action of individuals/businesses
- Individuals, firm
- Father - Adam Smith (The wealth of nation) founding father of Modern Economics

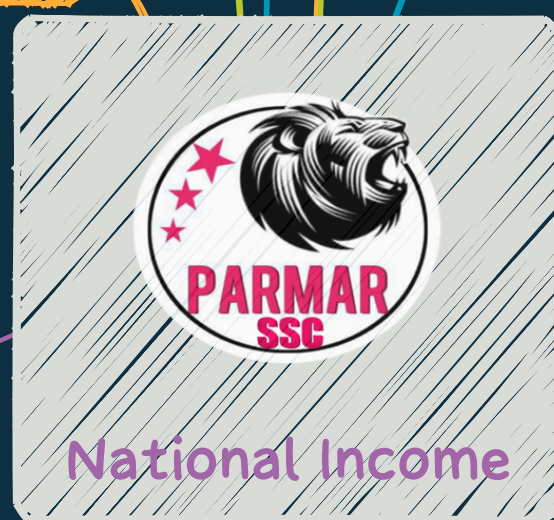
Organization of Economics activity

- Centrally planned — done by Government
- Market — free interaction of individuals

types of economic systems

	Govt. has no share holding <u>Capitalist</u>	private has no ownership <u>Socialist</u>	<u>Mixed</u>
Ownership	Private ownership	Public ownership	Public+Private
Economic motive	Profit	Social welfare	Both
Govt. role	No role	Complete involvement	Limited role
Income distribution	Unequal	Equal	Less unequal
Economic freedom	Complete	Lack of freedom	Limited freedom
	eg: USA	eg: USSR, North Korea	eg: India





National Income

Factor of Production

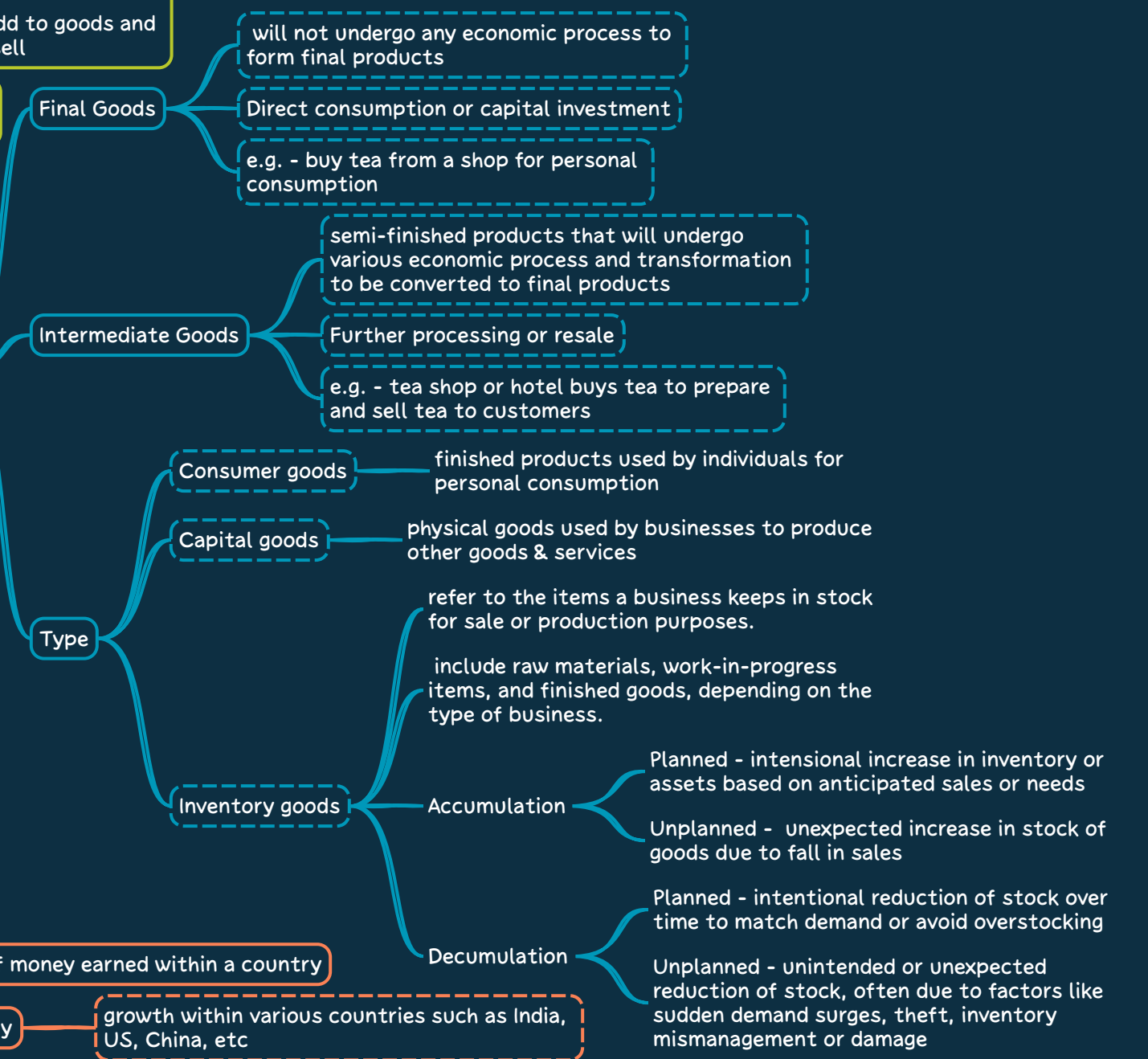
- Land - Pay rent
 - Labour - Pay wages
 - Capital - Pay interest
 - Entrepreneurs - Pay profit
- Rent, Wages, Interest & Profit are Factor Payments

GVA

Gross Value Added
value that producers add to goods and services they buy and sell

$\sum GVA = GAV_1 + GVA_2$

Goods



National Income

- the total of money earned within a country
- Intercountry** - growth within various countries such as India, US, China, etc
- Intracountry** - within the country what is growth in comparison to previous year
- $\text{Per Capita Income} = \frac{\text{National Income}}{\text{Population}}$

Stock

a quantity measured at a point of time
e.g. - wealth, loan, inventory, capital

Flow

a quality measured over a period of time
e.g. - Income, expenditure, change in inventory, depreciation

Personal Income

total income of an individual earned from all the sources before taxes

$PI = \text{National Income} + \text{Income received not earned} - \text{Income earned but received}$
 $PI = NI + \text{Transfer payment} - \text{Undistributed corporate profit}$

eg: subsidy by govt.

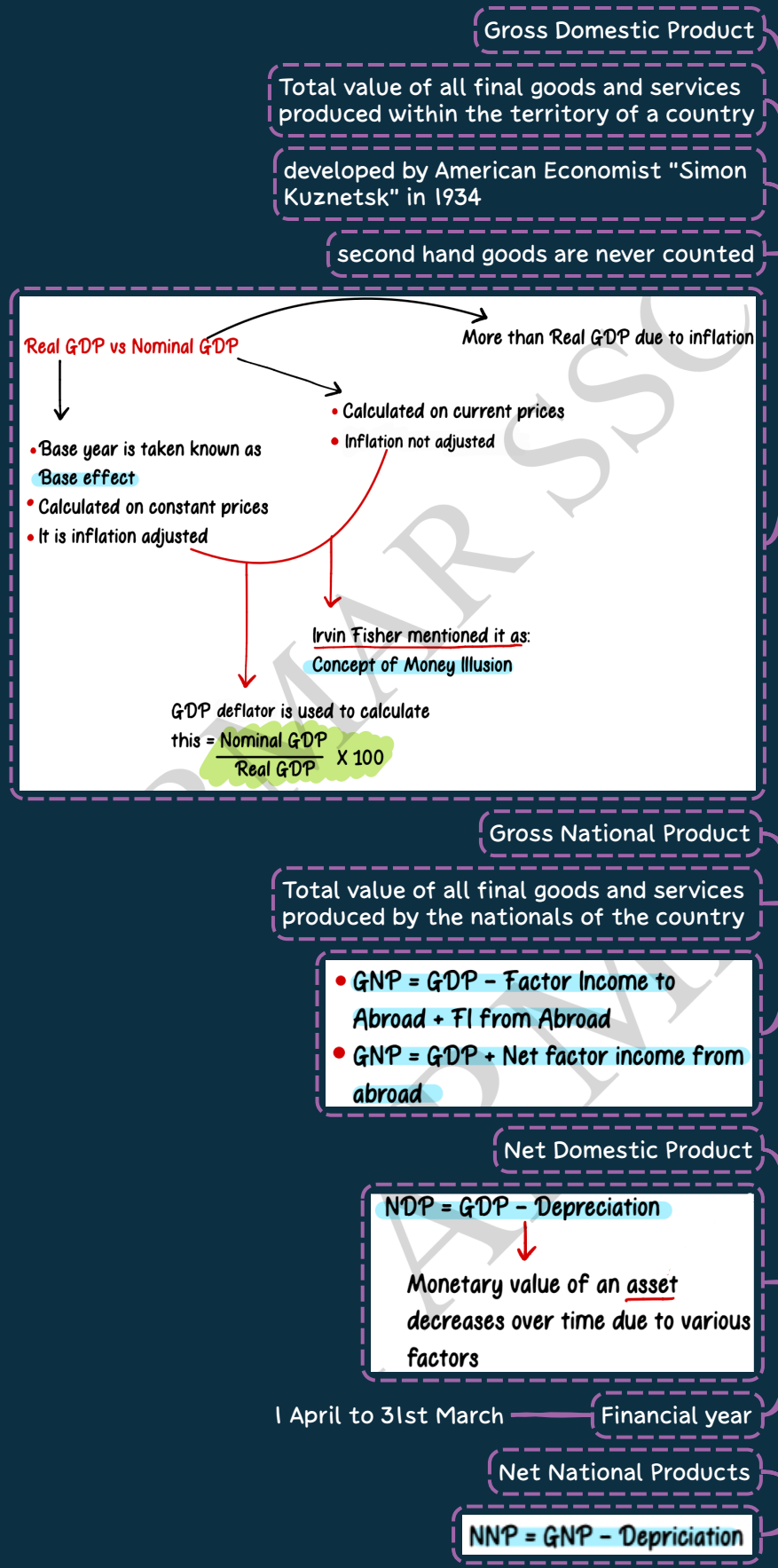
Personal Disposable Income: $PI - \text{tax}$

Purchasing Power Parity

A common basket of goods

India $\rightarrow$ GDP: 5th in the world
PPP: 3rd after USA and China
 $\rightarrow$ Economy is inflated

Measures & Aggregates



Methods to calculate GDP

- GDP Calculation by National Statistical Office under MOSPLI (Ministry of Statistics & Program Implementation)
- Value Added Method**
 - Also known as Production Method
 - Value added method = Output - Input
- Income Method**
 - Compensation to employees
 - Operating surplus
 - Mixed income
- Expenditure Method**
 - $C + G + I + (X - M)$
 - C: Consumption
 - G: Govt. expenditure
 - I: Investment
 - X: Export
 - M: Import



Inflation

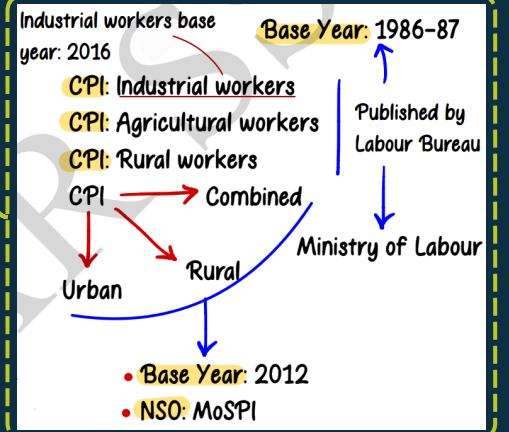
- Increase in general level of prices of goods & services
- Purchasing power decreases in case of inflation
- Irwin Fisher
 - Money illusion concept
 - $MV = PT$
- During inflation the debtor/borrower benefits more than the lender

Cause of Inflation

- Demand Pull
 - Demand side inflation
 - "Too many dollars chasing too few goods"
- Cost Pull
 - Supply side inflation
 - Increase in cost of any factors of production & input cost

Measurement of Inflation

- Wholesale Price Index (WPI)
 - More weightage to manufactured goods
 - does not capture the changes in the prices of services
 - Base Year - 2011-12
 - Published by: Office of Economic Advisor (OEA) Ministry of Commerce & Industry
- Consumer Price Index (CPI)
 - More weightage to food items
 - Checked from consumers perspective
 - Base Year - 2011-12
 - Published by: National Statistic Office (NSO) Ministry of Statistics & Program Implementation (MoSPI)
 - RBI uses CPI (combined) to target inflation



Types of Inflation

- Creeping - 3-4%
- Walking - 4-10%
- Running - 10-20%
- Galloping - 20-100%
- Hyper - 100%

Disinflation

- Rate of inflation is decreasing

Deflation

- opposite of disflation
- Fall in the general level of prices
- Purchasing power increases

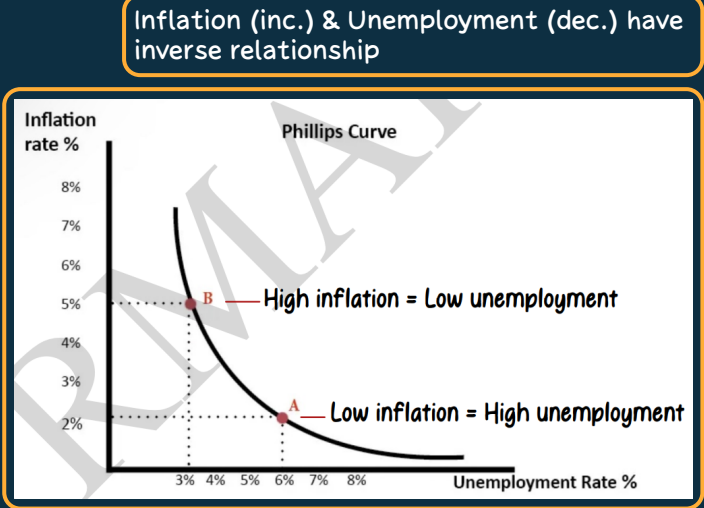
Types of Unemployment

- Structural unemployment
 - a mismatch between worker's skill & availability of job
 - eg: technology advancement, like machinery replacing farmer labour
- Educated unemployment
 - degree - unemployment, seen in Urban part of India
- Frictional unemployment
 - type of unemployment while searching for a new job
 - eg: an employee leaving current job to move to a better one (seen in Urban)
- Disguised/Hidden unemployment
 - when some people seem to be employed but are not, marginal productivity is zero
 - eg: Agriculture sector
- Cyclical unemployment
 - Recession in economy (upturn & downturn)
 - When economy revives, there is opportunity to employment, seen in Urban
 - eg: Great Recession
- Seasonal Unemployment
 - Employment based on the seasonal basis
 - Seen more rural part of India
 - eg: Light or fireworks sellers during Diwali

Stagflation

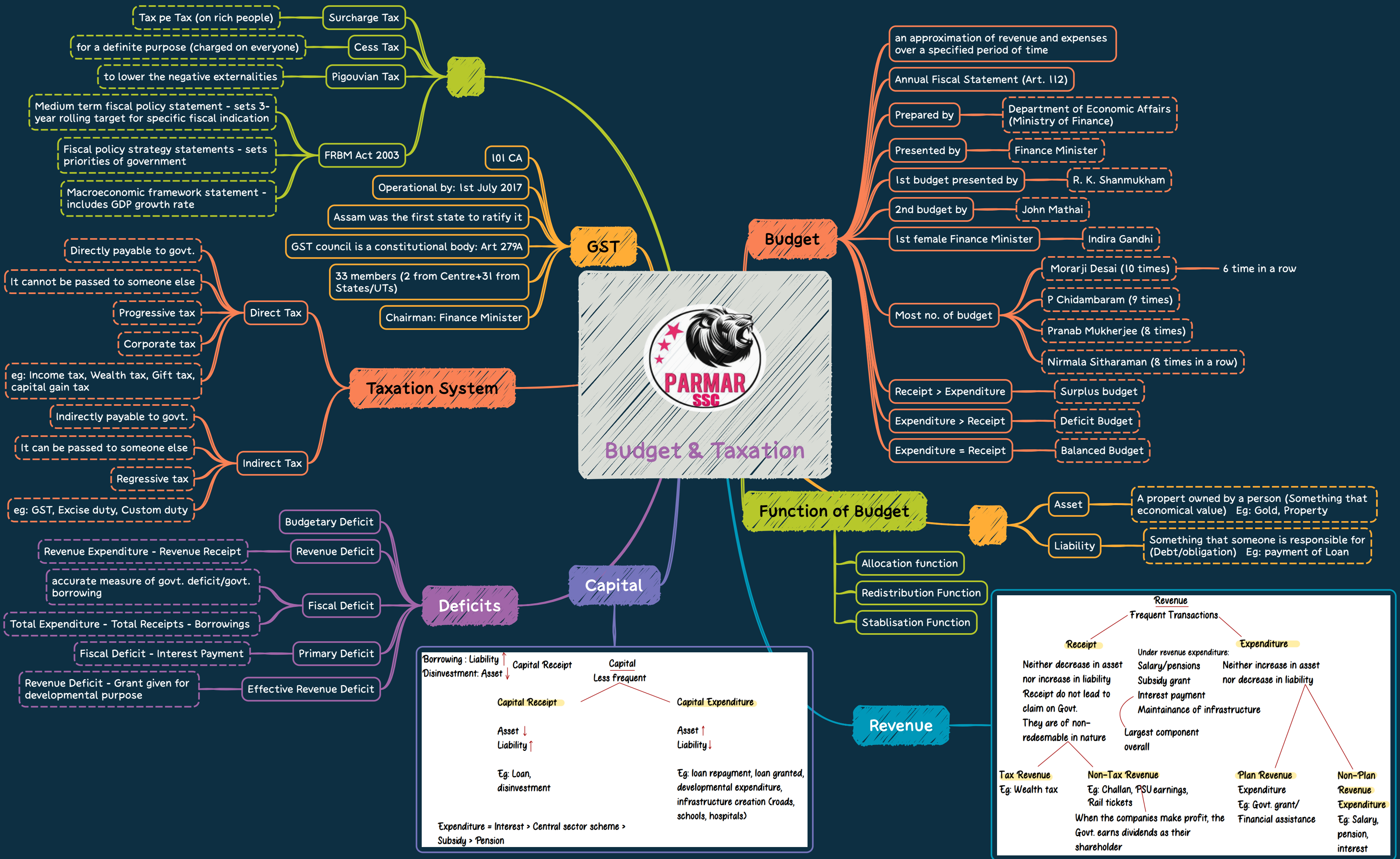
- Inflation (inc.) & Unemployment (inc.)
- No economic activity
- Stagnant + inflation = stagflation
- Great Depression - 1929-1939
- Great Recession - 2007-2009

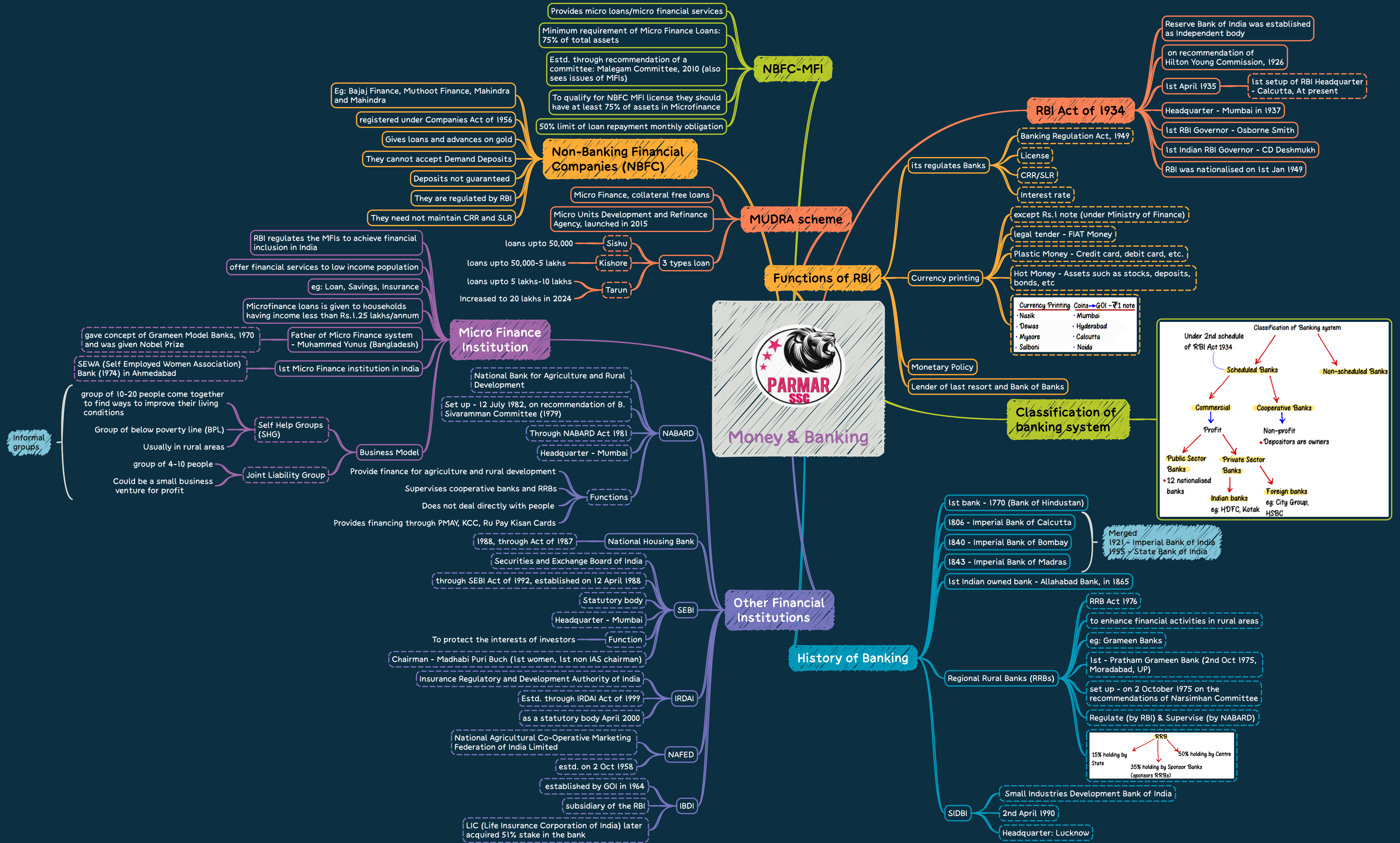
Philips Curve

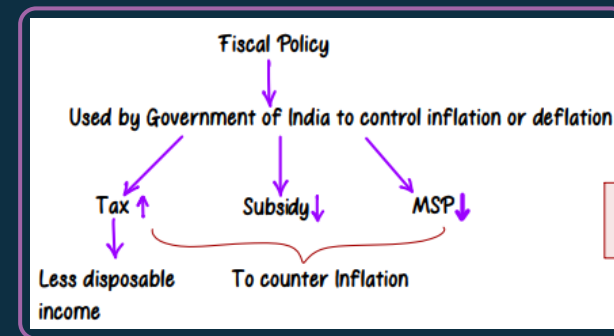
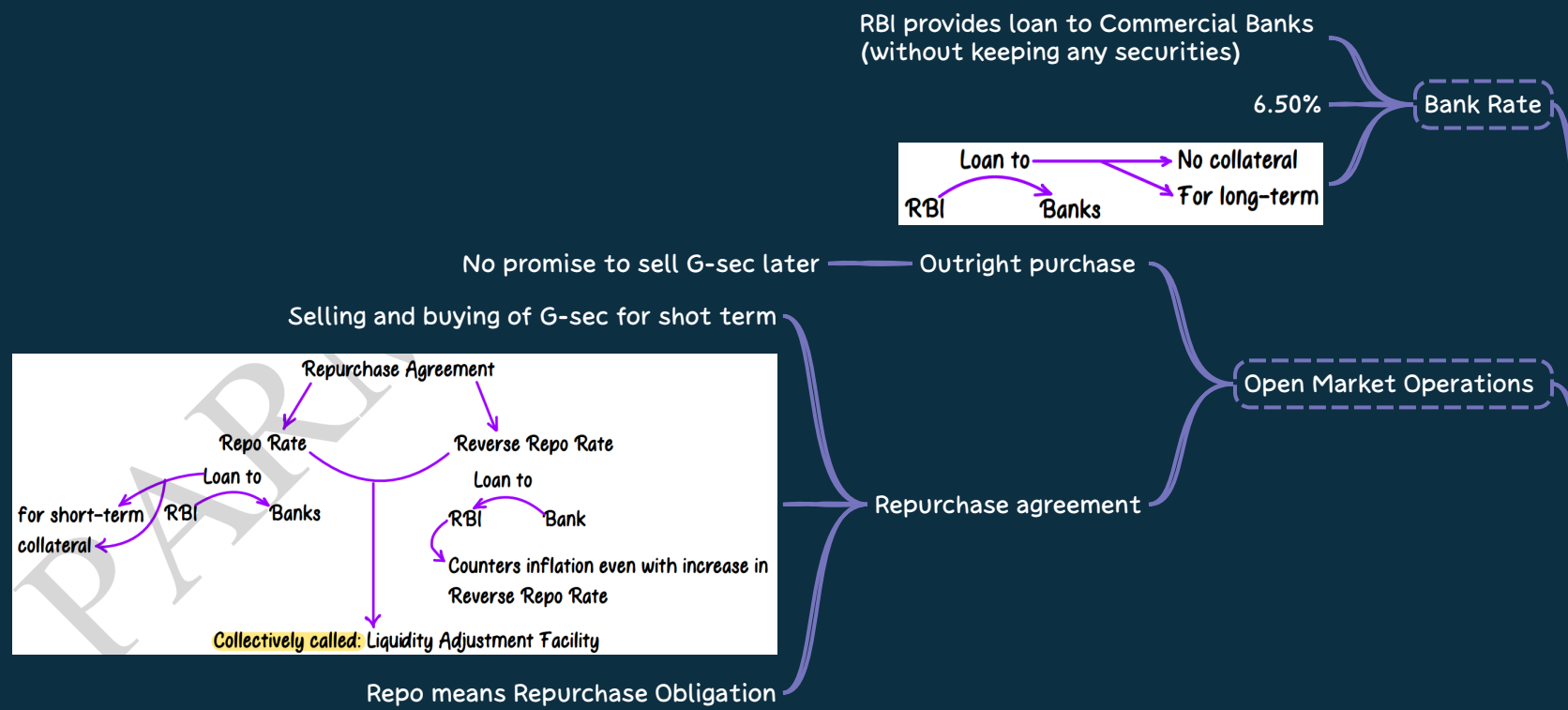


Index of Industrial Production (IIP)

- tracks the industrial output
- focuses on measuring quantity produced
- Base Year: 2011-12
- Published by - CSO (Central Statical organisation) of MoSP
- 8 core industries have 40% contributions
 - Refinery products
 - Electricity
 - Steel
 - Crude oil
 - Natural gas
 - Cement
 - Fertilizer
 - Crude Oil

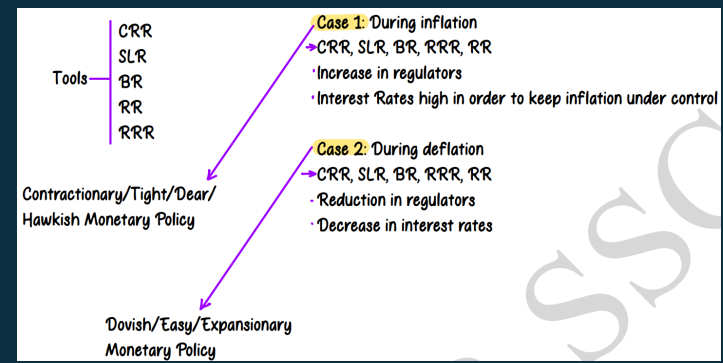
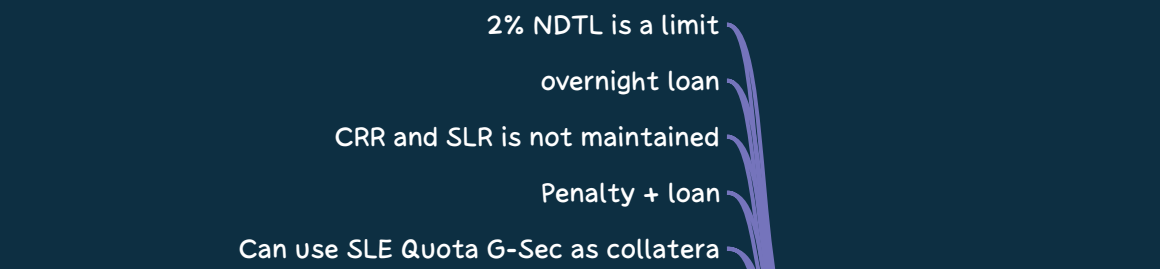




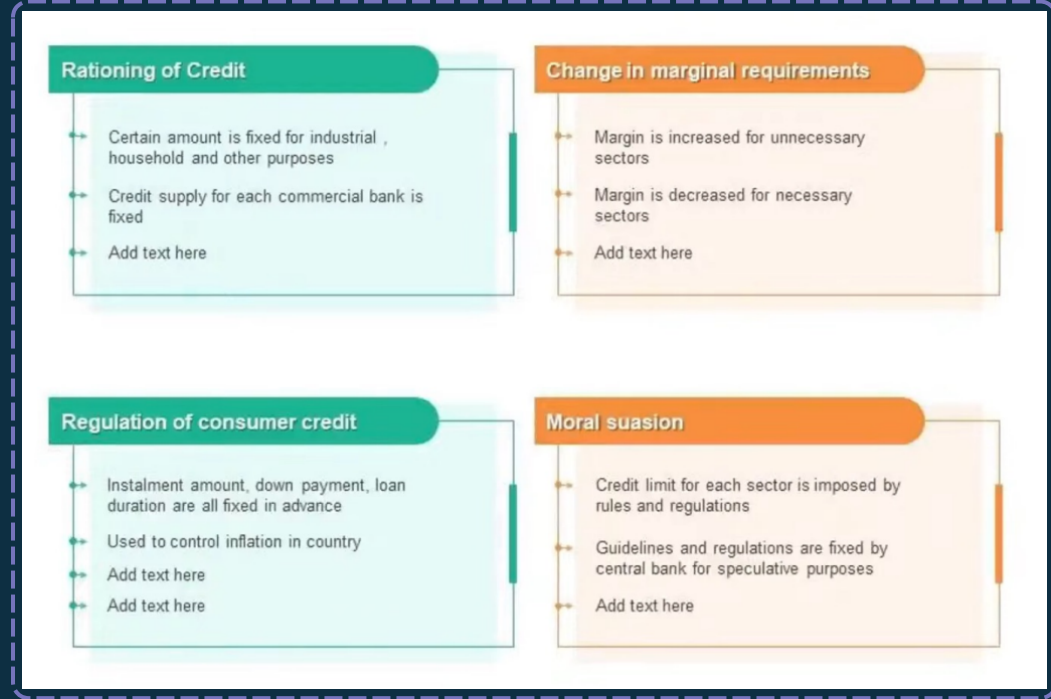


Fiscal Policy

Quantitative tools



$$\text{Currency Deposit Ratio} = \frac{\text{Money held by public in the form of currency}}{\text{Money in the form of Deposits in the Bank}}$$



Qualitative tools



Monetary Policy Tools

Balance Sheet

Different Assets and Liabilities of a Commercial Bank

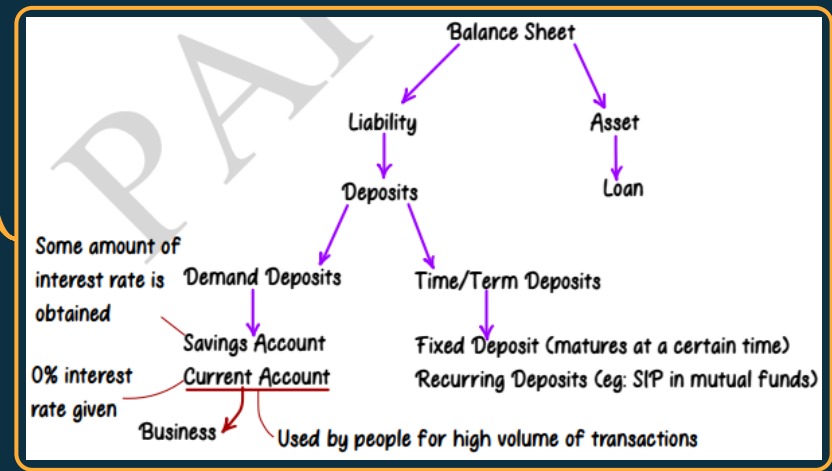
BALANCE SHEET			
LIABILITIES	AMT	ASSETS	AMT
Initial Money Invested	Share Capital	Vault Cash	
Sometimes bank borrows money from RBI	Loan taken from Central Bank if any	Deposits with Central Bank	
Saving Account, Current Account	Demand Deposits	Loans	
Fixed Deposits/Recurring Deposits	Term Deposits	Investment in Government Securities	

Cash kept in Bank for Withdrawal by customers

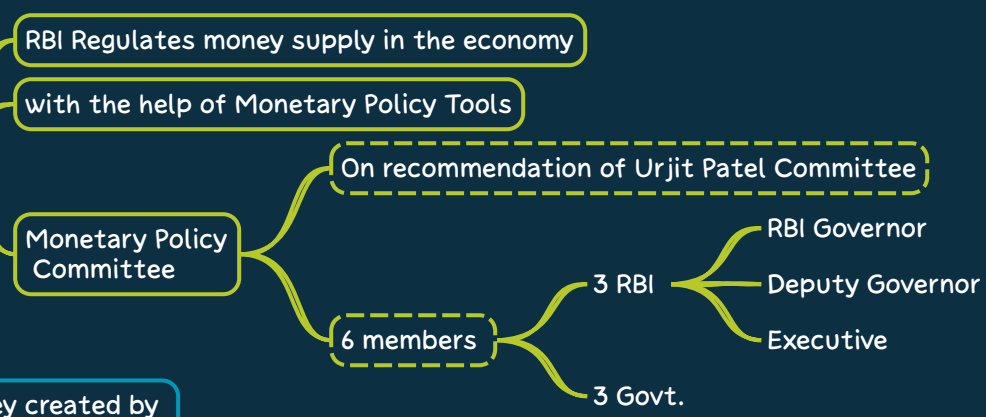
Amount deposited by Bank with RBI

Loan Given to Public

Amt invested in Government Bonds



in case of Inflation/Deflation



Money Multiplier

a maximum amount of new money created by banks for every dollar of reserves

$$MM \propto \frac{1}{CRR}$$



Basel Norms

Basel is a place in Switzerland
Headquarter of Bank of International Settlements (BIS) - Basel, Switzerland
Basel Committee, 1974 by G10

BASEL I - 1988

Focused on Credit Risk
Min. capital requirement at 8% of Risk Weighted Assets (RWA)
Capital Adequacy Ratio

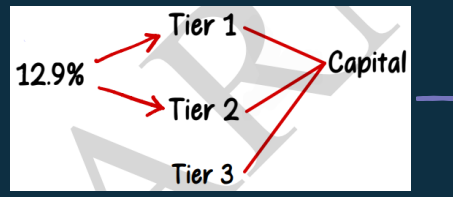
	Risk
Salaried employees: 100%	0
Ratan Tata: 90%	10%
Ashneer Grover: 50%	50%
Vijay Mallya: 10%	90%

BASEL II - 2004

Securitisation And Reconstruction of Financial Assets & Enforcement of Security Interest Act

Provides power to the bank/any financial institution to seize the property of a defaulting borrower

BASEL III - 2008



who would not pay to banks even if he has the ability to do so

Wilful Defaulter

Consolidates the existing laws on bankruptcy

Insolvency & Bankruptcy Code, 2016

Liquidity

ease with which an asset or security can be converted into ready cash without affecting its market price
Demand Deposit is more liquid than Term Deposit
Cash > Cheque > Gold > Bonds

Function of money

- medium of exchange
- unit of account
- store of value
- highly Portable, durable, divisibility

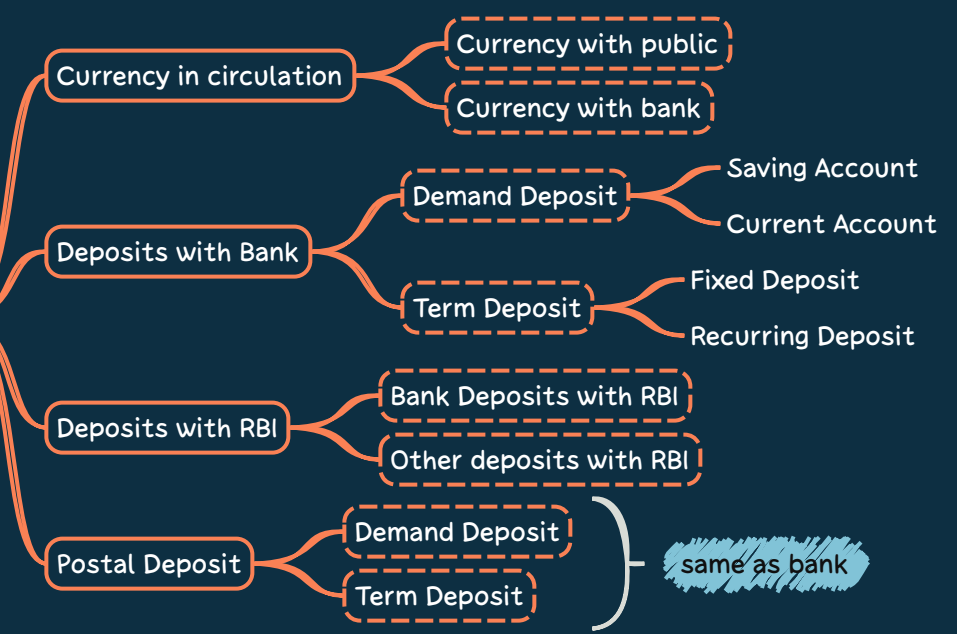
why people hold money

- Transaction motive: Money is held to facilitate smooth spending on goods & services
- Speculative motive: to take advantage of investment opportunities or avoid potential loss

liquidity trap

- situation in economy where people love to hold their money despite of any changes in interest rates which renders any Monetary Policy ineffective
- Fiat currency: cash
- Fiduciary money: Mutual agreement Eg: checks, bitcoins

Types of Money



Monetary Aggregates

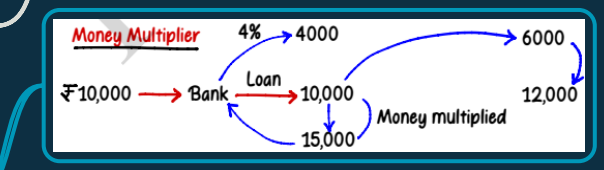
- M0: Monetary Base/High Powered Money/Reserve Money, Currency in circulation, Bankers deposit with RBI
- M1: Currency with public, Demand Deposits, Other deposits with RBI
- M2: M1 + Saving deposits with Post Office
- M3: M1 + Time deposits with Bank
- M4: M3 + All deposits with Post Office
- Liquidity Order - M1 > M2 > M3 > M4

components

Narrow Money

Broad Money (M3 - priority)

Money Multiplier



- Rate - Interbank Money Transfer to fulfil their CRR (Also called Offer Rate)
- LIBOR: London Interbank Offer Rate Base
- in India - MIBOR (Mumbai Interbank Offer Rate)

Removed in - 31st Dec 2021
Now, it's SOFR (Secured Overnight Financial Rate)

Assets

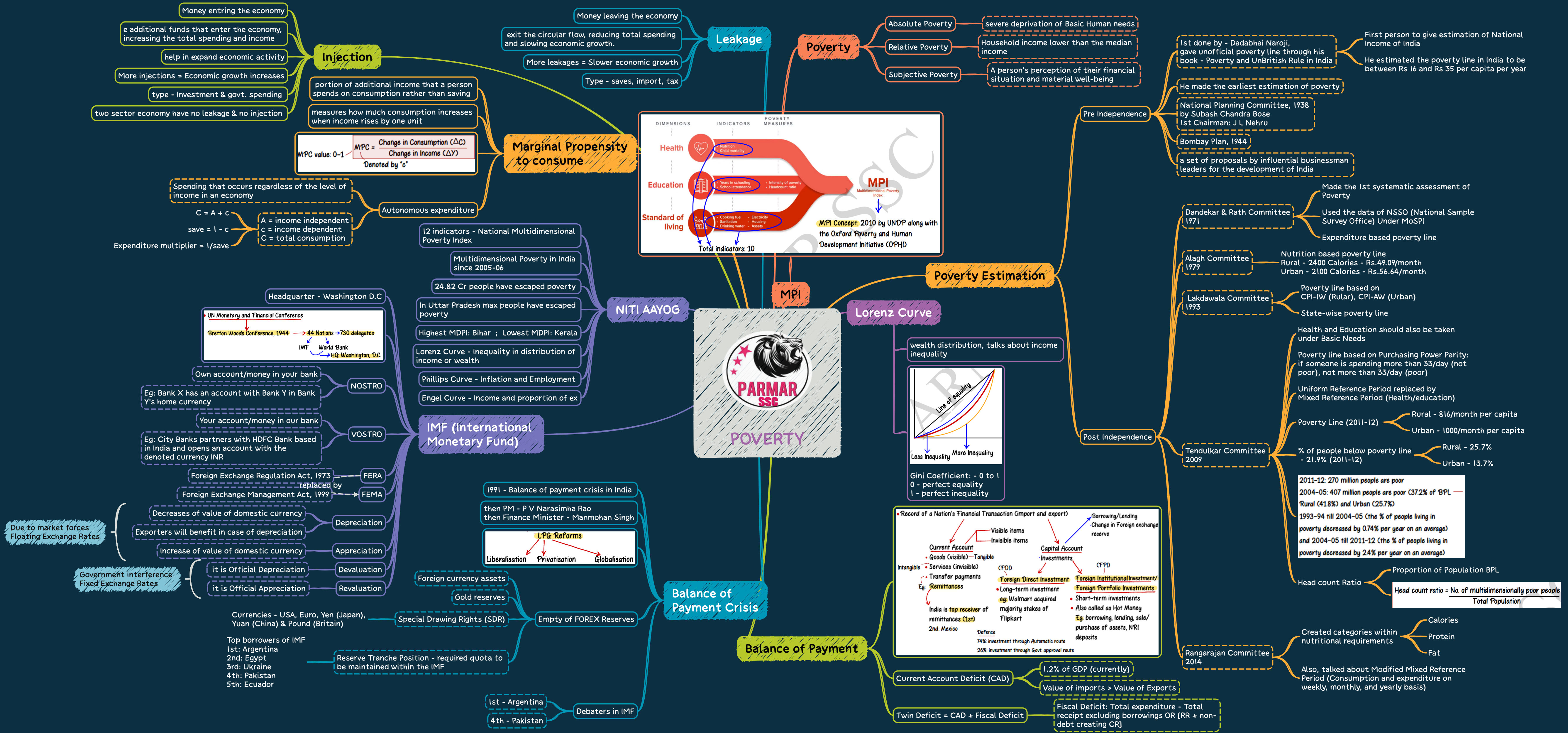
- Regular assets: long term in nature (regular interest rate + principal)
- Stressed assets: loans that are not performing, or are in danger of not performing.
 - Overdue delay is less than 90 days
 - Delay is more than 90 days
- Non Performing Assets (NPA):
 - Sub-standard: overdue more than 3 months
 - Doubtful: overdue more than 12 months

Bad Banks

- Financial entity setup to buy NPAs
- Recovery of NPAs
- 2021 budget: 2 bad banks to be established, National Asset Reconstruction Company Ltd. (NARCL), India Debt Resolution Company Ltd. (IDRCL)

Liquidity Adjustment Facility LAF

- Liquidity Trap: A situation in economy where people love to hold their money despite of any changes in interest rates which renders any Monetary Policy ineffective. No spending, happens when rates will increase, Speculative Demand: perfectly elastic.
- Money Market: Short-term loans, Call Money (to be paid within a day), Notice Money (to be paid within 2-14 days).
- Capital Market: Long-term loans.
- Treasury Bills: issued by RBI.
- Maturity Bills: less than 1 year, 91 days, 182 days, 364 days. They are always listed on discount rate, No rate of interest.





Pre independence

- Bombay Plan (published in 2 parts: 1944 & 1945) & Gandhian Plan in 1944
- Peoples Plan in 1945 (by post war reconstruction Committee of Indian Trade Union),
- Sarvodaya Plan in 1950 by Jaiprakash Narayan were steps in this direction

Planning Commission

- estd. on March 1950 ; Chairman - PM
- Post Independence, 1947
- Taken from - USSR
- Introduced in 1928 by Joseph Stalin

1st FYP

- launched on - 1st April 1951
- Based on Harrod-Domar Model
- During Jawaharlal Nehru
- Duration - 1951-56
- Key Focus - Primary Sector/ agriculture
- Target - 2.1% Achieved - 3.6% - Fully successful
- Setting up Dams to promote growth of Agriculture
 - Bhakra Nangal Dam (Satluj)
 - Hirakud Dam (Mahanadi)
 - Nagarjuna Sagar Dam (krishna)
- 5 IITs were established

2nd FYP

- Based on P.C. Mahalanobis Model
- During Jawaharlal Nehru
- Duration - 1956-61
- Key Focus - Public sector development of basic & heavy industry
- Target - 4.5% Achieved - 4.27% - Moderately successful
- Rapid Industrialisation
 - Industrial Policy Resolution, 1956 (2nd IPR)
 - Rourkela Steel Plant - Odisha (Germany)
 - Durgapur Steel Plant - West Bengal (UK)
 - Bhilai Steel Plant - Chattisgarh (USSR)

3rd FYP

- Based on Gadgil Formula
- During Jawaharlal Nehru & Lal Bahadur Shastri
- Duration - 1961-66
- Key Focus - Self reliant & Self generating economy
- Target - 5.6% Achieved - 2.8% - failure
- War
 - China War - 1962
 - Indo-Pak - 1965
- PL-480 - importing wheat from USA
- FCI - 14 Jan 1965 CACP - 1 Jan 1965 IDBI - 1 July 1965 UTI - 1963
- Plan Holiday
 - for 3 years - 1966-69
 - Annual Plan - New agricultural strategy

4th FYP

- Based on Gadgil Formula/Rudra Allen Mode
- During Indira Gandhi
- Duration - 1969-1974
- Key Focus - Growth with stability
- Progressive achievement of self reliance
 - Family Planning
 - 14 banks nationalisation
 - Underground nuclear test - Smiling Buddha
- Target - 5.6% Achieved - 3.3% - a big failure
- war - Indo-Pak war - 1971
- Basic needs to be provided to all
- 20 points programme (1975)

5th FYP

- Based on D.P. Dhar Model
- During Indira Gandhi
- Duration - 1974-78
- Key Focus - Removal of poverty (Garibi Hatao) Attainment of self reliance
- Minimum Needs Programme (1974) - Basic needs to be provided to all
- RRBs were setup (1975)
- Target - 4.4% Achieved - 4.8% - a bit successful
- goals
 - Growth - increase in GDP
 - Modernisation - introduction of new technology + involvement of women labour force
 - Self-reliance - inward looking strategies
 - Equity - growth for all

Rolling Plan introduced

- During Janta Govt./Moraji Desai
- Duration: 1978-80
- Key focus - Emphasis was on employment

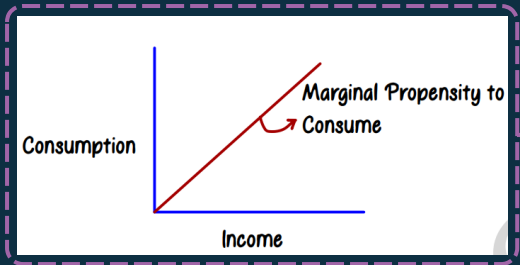
NITI AAYOG

- in place of Planning Commission
- Setup on: 1st Jan 2015
- It is a Think Tank of govt.
- Publishes reports
- Vision Document

Marginal Propensity to Consume

The proportion of an aggregate raise in a pay that a consumer spends on the consumption of goods and services as opposed to saving it

Multipliers will be lower with low marginal propensity to consume



$$MPC = \frac{\Delta C}{\Delta I} = \frac{\text{Consumption}}{\text{Income}}$$
$$0 < MPC < 1$$
$$\text{Money Multiplier} = \frac{1}{1 - MPC}$$

Industrial Policy resolution

- 1st IPR, 1948
 - Main person: Dr. Shyama Prasad Mukherjee
 - Govt. monopoly (Atomic Energy, Railways, etc.)
 - License Raj Begining
- 4 broad categories
 - Public sector - strategic industries
 - Public cum Pvt. sector - basic/key industries
 - Controlled Pvt. Sector - important industries
 - Private and Cooperative sector- other industries
- Also known as economic constitution of India
- 2n IPR, 1956
 - Industries diversification
 - Schedule A - Public sector (17)
 - Schedule B - Public + Private sector (12)
 - Schedule C - only private sector (remaining)
- 3rd IPR, 1977
 - extension of 1956 policy
 - Major focus on Decentralisation
 - It gave priority to small scale industries called Tiny Unit
 - Imposed restrictions on MNCs
- 4th IPR, 1980
 - FERA Act, 1973
 - Started Monopolistic and Restrictive Trade Practices (MRTP Act)
- 5th IPR, 1991
 - New Industrial Policy (L P G)
 - FDI ceiling increased
 - Disinvestment of Public Sector
 - End of License Raj

12th FYP

- During Manmohan Singh
- 2012-2017 - Duration
- Key Focus - Towards faster, inclusive, & sustainable growth

11th FYP

- During Manmohan Singh
- 2007-2012 - Duration
- Key Focus - Towards faster & more inclusive growth
- Target - 9% Achieved - 8%

10th FYP

- During Atal Bihari Vajpayee & Manmohan Singh
- 2002-2007 - Duration
- Key Focus - Towards faster & more inclusive growth
- Target - 8% Achieved - 7.6%
- National Horticulture Mission (NHM) was promoted by govt
- Micro irrigation programme
- Jute technology mission

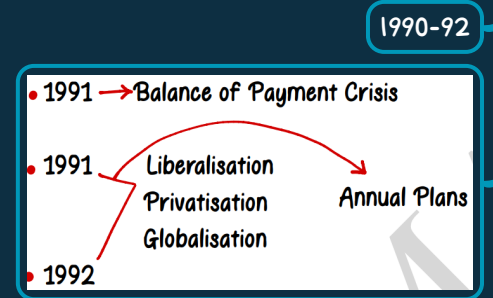
9th FYP

- During Atal Bihari Vajpayee
- 1997-2002 - Duration
- Key Focus - Growth with social justice and equality
- Target - 6.5% Achieved - 5.4%

8th FYP

- During P V Narasimha Rao
- 1992-97 - Duration
- Key Focus - New Indicative Policy Economic and Fiscal Reforms Share of public sector declined (Licence Raj ended)
- Target - 5.6% Achieved - 6.8% - highly successful

Annual Plan



7th FYP

- During Rajiv Gandhi
- 1985-90 - Duration
- Key Focus - Food grain production Employment opportunities to be generated Productivity
- Target - 5% Achieved - 6% - very successful
- Jawahar Rozgar Yojana 1989
- Concept by - Prof. Raj Krishna
- Hindu Rate of Growth 1978 - India from 1960-80 has seen slow economic growth
- (schemes for transferring skills (TRYSEM) and seets (IRDP) & providing slack season employment (NREP)
- Established NABARD
- Landless Labour Employment Guarantee Programme (RLEGP) on 15 August 1983

6th FYP

- During Indira Gandhi
- 1980-85 - Duration
- Key Focus - National Income Modernisation of technology
- Decreased in Poverty & Unemployment
- Target - 5.2% Achieved - 5.7% - successful